When we use the term ‘a growing’ economy, it means that the economy is adding up its income i.e. in quantitative terms.

(ii) It is a ‘quantitative’ concept and its volume/size indicates the ‘internal’ strength of the economy. But it does not say anything about the ‘qualitative’ aspects of the produced goods and services by the economy.

(iii) It is used by the IMF/WB in the comaparative analyses of its member nations.

NDP

Net Domestic Product (NDP) is the GDP calculated after adjusting the weight of the value of ‘depreciation’. This is, basically, *net form* of the GDP, i.e. GDP minus the total value of the ‘wear and tear’ (depreciation) that happened in the assets while the goods and services were being produced. Every asset (except human beings) go for depreciation in the process of their uses, which means they ‘wear and tear’. The governments of the economies decide and announce the rates by which assets depreciate (done in India by the Ministry of Commerce and Industry) and a list is published, which is used by the different sections of the economy to determine the real levels of depreciations in different assets. For example, a residential house in India has a rate of 1 per cent per annum depreciation, an electric fan has 10 per cent per annum, etc., calculated in terms of the asset’s price. This is ***one way*** how depreciation is used in economics. The ***other way*** it is used in the external sector while the domestic currency floats freely in front of the foreign currencies, If the value of the domestic currency falls following market mechanism in front of a foreign currency, it is the situation of ‘depreciation’ in the domestic currency, calculated in terms of loss in value of the domestic currency.

Thus, *NDP = GDP – Depreciation.*

This way, NDP of an economy has to be always lower than its GDP for the same year, since there is no way to cut the depreciation to zero. But mankind has achieved too much in this area by the developments such as ‘ball-bearing’, ‘lubricants’, etc., all innovated to minimise the levels of depreciation.